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Marvell Technology Equity Research


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Outlook

Marvell Data-Center Targets Signal Upside; Execution Key: React

(Bloomberg Intelligence) -- RECENT EVENT REACTION: Marvell's data-center revenue should outpace expectations through fiscal 2028 as share gains, higher connectivity content and broader XPU-attach ramp-ups add to rising industry capital spending. The company targets $18 billion of revenue in fiscal 2028, roughly $2.2 billion above analyst estimates of $15.8 billion. Its fiscal 2031 data-center target of $67.5-$87.5 billion is more ambitious, 80-134% above consensus' almost $37.5 billion. Based on our analysis, much of fiscal 2028's upside can come from share gains and higher content in connectivity, especially optical scale-out, scale-across and scale-up, alongside broader XPU-attach expansion. More detail on the breadth, timing and customer mix of XPU-attach wins, along with the execution path to these goals, is likely key to sustaining the sentiment boost. (10/06/26)

Marvell AI Networking, Custom Ramps Broaden AI: Equity Outlook

THESIS: Marvell's near-term AI growth is anchored by 800G/1.6T optics, broadband analog and scale-out switching, with interconnect outgrowing hyperscaler capital spending. Longer term, co-packaged optics and switching across Ethernet, UALink and NVLink could extend the networking runway, while custom silicon ramps through Trainium, Microsoft Maia and more networking, CXL and memory-attach programs. A broader socket base reduces reliance on any single accelerator and supports a more durable AI growth profile. Google programs stand to add fiscal 2029 upside, though gross margin may remain near 58% as custom mix rises. (09/01/26)

Key Topics Summary

Marvell Investor Day: Marvell's investor-day targets point to substantial AI upside, with the fiscal 2031 framework well above analyst expectations and the improving quality of growth drivers more significant than the numbers. Execution is the key test as interconnect broadens to integrated photonics, scale-across, scale-out and scale-up. Acceleration in legacy products like Ethernet switching should also super-charge growth. Higher-margin and more diverse XPU-attach programs are expected to ramp up in fiscal 2029, offering lower volatility and less intense competition than XPUs. The ambitious longer-dated goals require Marvell to convert a visible design-win pipeline into production. New

Accelerators $1.4T Forecast: The AI-accelerator market should reach $1.4 trillion by 2030, up from our prior $560 billion view, as higher system values and broader deployment lift GPU and custom-chip revenue. Our analysis shows GPUs retaining roughly 65-70% of the market as rising memory and other input costs lift pricing, while custom ASICs gain share as hyperscalers and frontier labs push proprietary chips into high-volume inference. Enterprise, sovereign and cloud demand should extend growth beyond the largest US platforms. New

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Bloomberg Intelligence

Extended Earnings Outlook: Marvell's sharply higher fiscal 2027-28 outlook underscores accelerating and diversifying AI demand, with interconnect a near-term upside driver, followed by custom ramp-ups in fiscal 2028. Estimates could rise on the back of optics, active electric cables and switching as scale-up momentum builds. Custom is set to double in 2028, but only one-third is tied to the new tier-1 hyperscaler program, leaving targets achievable even with a slower Microsoft Maia ramp-up.

Custom AI ASICs Outlook: The rapid proliferation of open-weight AI models like Kimi and DeepSeek could commoditize the software layer, shifting economic value toward hardware infrastructure. This dynamic will likely bode well for custom ASICs as hyperscalers seek to optimize inference costs and capture higher margins. The compute requirements to train and serve these models, along with demand for flexible architectures, should also ensure merchant GPUs from Nvidia and AMD remain indispensable, driving a dual-track capital spending boom that expands the total addressable market for both silicon architectures.

Extended Earnings Preview: Marvell's fiscal 2Q results may again top consensus as optical and switching demand stays strong, supported by igreater hyperscaler capital-spending estimates, but the stock's post-Computex rerating raises the bar. Another increase to the fiscal 2027-28 outlook or firmer visibility into 1.6T, scale-up and the fiscal 2028 custom-silicon ramp-up might be needed to support further rerating, with interconnect still the key near-term driver.

Financial Review

Earnings

Marvell Raises Again; Scale-Up Benefit to Grow: Earnings Outlook

Post-2Q Earnings Outlook: Marvell's scale-up networking gains look set to increase; it again raised its fiscal 2027 revenue outlook, by $500 million to roughly $12 billion, but the bigger takeaway was a $1.5 billion increase for fiscal 2028, to about $18 billion. We believe much of the additional fiscal 2028 upside comes from accelerating scale-up networking wins spanning near- and co-packaged optics and switching, as the company positions itself across all three major scale-up technologies (UALink, Ethernet and NVLink). There's also more upside from stronger XPU and XPU-attach ramp-ups. Data-center growth is now expected above 60% in fiscal 2028, despite a much larger base.

The stronger growth outlook is partly offset by slight gross-margin pressure; the fiscal 3Q guidance midpoint of 58% is below consensus, and margins will likely stay near that level through 4Q and fiscal 2028 as custom mix rises. Google's expanded agreement remains significant, but major ramp-ups are likely to be in fiscal 2029 and beyond, setting up a larger potential step-up. (08/28/26)

Highlights From Recent Results:

- Fiscal 2027 Revenue Guidance Raised by $500 Million; Fiscal 2028 Increased by $1.5 Billion to Roughly $18 Billion
- Scale-Up Optics and Switching to Drive Much of Fiscal 2028 Upside; NPO/CPO Momentum Accelerates
- Custom and XPU-Attach Outlook Strengthens; Google Could Drive Larger Step-Up Starting Fiscal 2029
- Gross Margin to Stay Near 58% Through 4Q and Fiscal 2028 as Custom Mix Rises

Additional Resources:

- Earnings Release | NSN »
- Earnings Call Transcript | DOCC »

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Long-Term Drivers

Marvell's Long-Term AI Engines Broaden Across Networking, Custom

Marvell's long-term growth profile is increasingly anchored by a full AI-connectivity stack spanning scale-out optics and switching, emerging scale-up fabrics and a widening custom-silicon portfolio. Interconnect could remain a durable growth engine as 1.6T adoption, data-center interconnect, near-package and co-packaged optics, and switching across Ethernet, UALink and NVLink expand content per accelerator. Consensus sees interconnect surpassing $10 billion by fiscal 2029, while scale-up optics is still only about 2% of fiscal 2028 data-center sales, leaving substantial runway.

Custom silicon stands to become the larger engine by fiscal 2029, rising above $11 billion as Trainium, Microsoft Maia and accelerator-attach programs scale. Google's new workload-specific programs spanning inference accelerators, network interface controllers, CXL, memory acceleration and potentially custom switching broaden the socket base and reduce reliance on any single accelerator, with a larger contribution likely beginning in fiscal 2029. (09/01/26)

Bloomberg Interactive Calculator (Click to Open)

Marvell Technology Inc
MRVL US

Bloomberg Interactive Calculator Vs 2.0

Marvell Technology Inc

	2025	2026	2027	2028	2029
Key Financial Metrics					
Total Revenue	5,767	8,195	10,794	14,731	19,334
Consensus			10,565	14,379	18,879
Gross Margin (non-GAAP)	61.0%	59.5%	58.0%	56.9%	55.5%
Consensus			58.5%	57.0%	56.3%
Operating Margin (non-GAAP)	28.9%	35.3%	34.6%	36.2%	36.6%
Consensus			36.2%	37.3%	38.6%
Free Cash Flow	1,397	1,396	1,349	4,518	5,535
Consensus			2,823	3,659	4,733
Diluted EPS (non-GAAP)	1.57	2.84	3.72	5.71	7.43
Consensus			3.75	5.25	7.16
Key Segment Drivers					
Product					
Data Center	4,164	6,100	8,416	12,171	16,623
Y/Y Change		46.5%	38.0%	44.6%	36.6%
Consensus			8,264	11,952	16,324
Communications and Other	1,603	2,094	2,378	2,560	2,711
Y/Y Change		30.6%	13.6%	7.6%	5.9%
Consensus			2,254	2,382	2,496

The Bloomberg Interactive Model uses dynamic drivers - benchmarked against detailed consensus estimates or based on BI analyst scenarios that can be customized by users - to create an integrated three-statement financial model.

Source: MODL <GO>, Bloomberg Intelligence

Bloomberg Intelligence BI

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Valuation

Valuation

Marvell's AI Premium Raises Bar for Earnings, Execution

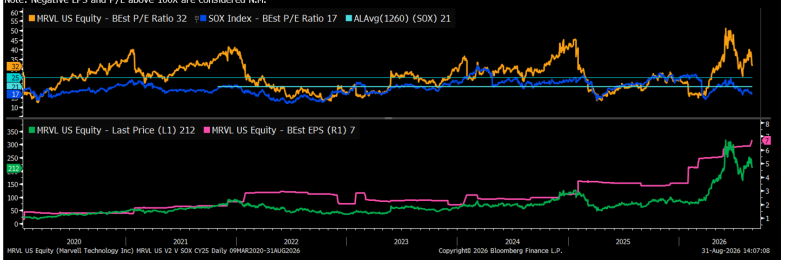
Marvell trades at roughly 32x calendar 2027 EPS, nearly 90% above the SOX Index at about 17x and a 35-50% premium to semiconductor peers at 21-24x. The rerating reflects its sharply higher fiscal 2027-28 growth path, interconnect outpacing hyperscaler capital spending and improving visibility into Trainium, Microsoft Maia and XPU-attach ramps. Scale-up optics, switching and Google add longer-term optionality, though much of the near-term AI growth narrative is already reflected in the current multiple.

Sustaining the premium requires earnings revisions as rising custom-silicon mix keeps gross margin near 58%. Continued optical outperformance, clean execution on fiscal 2028 custom growth and a higher fiscal 2029 framework would support the valuation, while slower ramps or weaker margins would weaken the case given Marvell's valuation gap to peers. (09/01/26)

Marvell's Valuation

	Semi Peers	Market Cap ($B)	Revenue Growth (%) 2025	2026E	CAGR (2024-2026E)	Gross Margin (%) 2025	2026E	Operating Margin (%) 2025	2026E	EPS Growth (%) 2026E	2027E	P/E 2026	2027
	MARVELL TECHNOLOGY	$186	43.7	42.4	43.0	59.6	58.6	35.1	36.6	43.8	62.6	71x	32x
Semi Peers	BROADCOM INC	$1,762	25.3	76.0	40.9	78.4	74.9	65.3	66.9	81.9	59.2	30x	18x
	TEXAS INSTRUMENTS INC	$238	13.0	23.0	17.9	56.4	60.2	34.1	41.7	37.6	26.5	32x	25x
	INTEL CORPORATION	$473	-0.7	19.7	9.0	36.7	41.9	-5.0	3.2	N.A.	36.8	61x	43x
	QUALCOMM INC	$179	11.5	-7.7	1.5	55.6	53.6	35.2	27.6	-23.1	17.3	23x	16x
	NVIDIA	$5,321	65.4	86.4	75.6	73.1	74.4	63.3	65.7	92.8	66.6	25x	15x
	ADVANCED MICRO DEVICES	$768	34.2	47.9	40.9	52.0	55.7	21.6	28.1	84.5	100.0	70x	30x
	ANALOG DEVICES INC	$175	23.2	38.3	30.5	69.7	73.1	42.7	50.1	65.8	24.8	26x	21x
	Average	$1,274	24.6	40.5	30.9	60.3	61.9	36.7	40.5	56.6	47.3	38x	24x
	Median	$473	23.2	38.3	30.5	56.4	60.2	35.2	41.7	73.8	36.8	30x	21x
	SOX	$14,604	22.5	43.5	25.9	50.7	61.4	23.1	43.2	110.5	44.8	26x	17x

Note: Periods represent calendar years, not fiscal years. Valuation Data as of August 31, 2026
Note: Negative EPS and P/E above 100X are considered N.M.



Source: Bloomberg Intelligence

Bloomberg Intelligence BI

Focus Idea

Marvell Rerating Likely

Marvell Raised AI Targets; Still Room for Upside: BI Focus

Closing Focus Idea: Marvell has gained 150% since we published our original Focus Idea, vs. 80% for the SOX and 90% for AI-chip peers, suggesting the underappreciated AI opportunity we identified has largely been recognized. Our scenario remains above consensus, but the gap narrowed significantly as consensus reflects stronger AI growth, broader hyperscaler wins and less concern about custom-silicon share loss. We're closing the Focus Idea because consensus no longer materially understates Marvell's earnings potential, not because the fundamental thesis has weakened. Data-center execution and earnings momentum remain strong.

Original Thesis, September 2025: Marvell Technology is on track to more than double AI-related revenue this year, the fastest growth among its peers, while our scenario points to roughly 8% upside to fiscal 2027 consensus AI sales. Yet its valuation is the only one in the group to have declined this

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year, with shares down about 29%. Likely AWS and Microsoft XPU ramp-ups in 2026 and solid wins elsewhere can support estimates and valuation. (09/02/26)

Interconnects Broaden Data-Center Upside

Marvell's latest outlook increase reinforces our belief that data-center growth is broadening beyond traditional scale-out optics. The $1.5 billion increase to fiscal 2028 revenue guidance appears driven primarily by faster scale-up adoption, with near- and co-packaged optics expanding above prior expectations and switching opportunities growing across UALink, Ethernet and NVLink. Custom silicon and processor-attach demand also contribute, while the higher $18 billion target doesn't appear to require a large incremental contribution from Google, which can become more meaningful in fiscal 2029 and beyond.

Our scenario is above consensus by 2% for fiscal 2028 and 7% for fiscal 2029, reflecting early-stage scale-up optics and switching opportunities as well as Compute Express Link and custom network-interface card demand tracking above prior assumptions. Gross margin could remain near 58% through fiscal 4Q27 and fiscal 2028 as the custom-silicon mix rises, while operating leverage may push operating margin toward the upper end of management's 38-40% goal. (09/02/26)

Bloomberg Intelligence Scenario Analysis

Bloomberg Intelligence Interactive Scenario: MRVL US Equity

	2026	2027E	2028E	2029E
Segment Revenue				
Data Center	**6,100**	**9,701**	**15,962**	**25,147**
YoY Growth (%)		*59%*	*65%*	*58%*
Consensus		9,920	15,577	23,559
% Deviation from Consensus		-2%	2%	7%
Consensus YoY Growth (%)		63%	57%	51%
Interconnect	**3,080**	**5,537**	**8,544**	**10,337**
YoY Growth (%)		*80%*	*54%*	21%
Custom AI	**1,519**	**1,946**	**4,274**	**11,056**
YoY Growth (%)		*28%*	*120%*	159%
Other DC	**1,501**	**2,217**	**3,143**	**3,754**
YoY Growth (%)		*48%*	*42%*	19%
Communications and Other	**2,094**	**2,239**	**2,402**	**2,539**
YoY Growth (%)		*7%*	*7%*	*6%*
Consensus		2,240	2,301	2,430
% Deviation from Consensus		0%	4%	4%
Consensus YoY Growth (%)		7%	3%	6%
Total	**8,195**	**11,940**	**18,364**	**27,686**
YoY Growth (%)		*46%*	*54%*	*51%*
Consensus		**11,905**	**17,934**	**25,896**
% Deviation from Consensus		0%	2%	7%

Source: Bloomberg Intelligence

Share-Loss Concern Settled, New Wins Achieved

We believe these catalysts could act as important triggers for this idea in coming months. (09/02/26)

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Timeline of Key Catalysts:

- Delivered: Fiscal 4Q26 earnings and 2027–28 reset. Revenue outlook lifted to $11 Billion in 2027, $15 Billion in 2028, with data-center growth and interconnect guidance above 50% year over year.
- Delivered: Secured 2027 custom-purchase orders. Full-year coverage for lead XPU program and clearer line of sight into 2028 doubling framework.
- Delivered: 1H26 1.6T optical ramp-up broadens. Volume expansion across hyperscalers as we monitor attach rates and mix shift vs. 800G.
- Delivered: Mid-2026 Scale-up switching sampling (UALink). Early customer validation of Marvell + XConn road map.
- 2H26: XPU-attach inflection. NIC and CXL programs move into higher-volume production; incremental contribution into 2027 exit rate.
- Late 2027: Visibility on new Tier-1 XPU production ramp-up. Qualification cadence and wafer starts key to sizing 2028 upside.

Data-Center Raises Broaden Across Networking, Custom

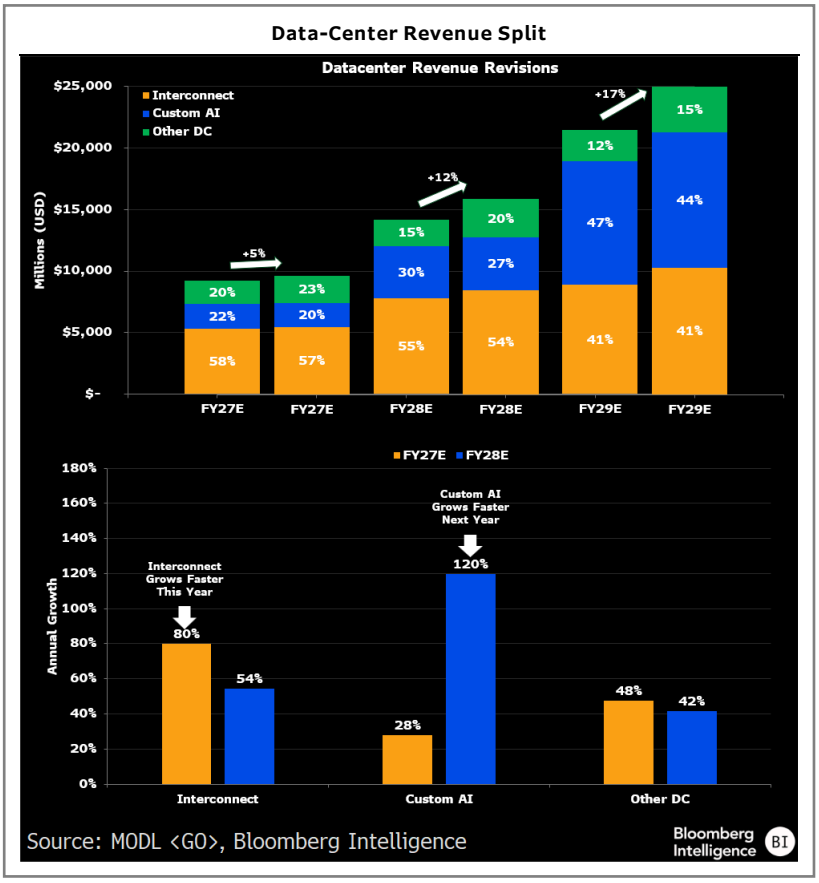
For fiscal 2027, our scenario points to the largest incremental contribution from interconnect and other data-center businesses, particularly scale-out switching. Interconnect could grow about 80%, more than 2x custom silicon's roughly 30% pace, as 800G and 1.6-terabit optical digital signal processors, transimpedance amplifiers and drivers, and data-center interconnect modules track ahead of prior assumptions. Transimpedance amplifiers and drivers, data-center interconnect modules and scale-out switching are each on or ahead of paths toward roughly $1 billion annualized revenue.

The mix may shift in fiscal 2028. We allocate roughly two-thirds of the $1.5 billion revenue increase to interconnect and other data-center businesses, with the remaining $500 million split between stronger processor and processor-attach demand. Interconnect can still grow about 50%, broadly in line with hyperscaler capital spending, while custom silicon becomes the faster-growing business as Trainium, Microsoft Maia and attach programs drive revenue to more than double.

Near-package optics and co-packaged optics can add further networking growth, though scale-up optics still represents only a single-digit share of data-center sales in our scenario. Google could add to our fiscal 2029 scenario if revenue from the agreement includes all new designs. (09/02/26)

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Custom AI Mix Broadens; $10 Billion Target Conservative

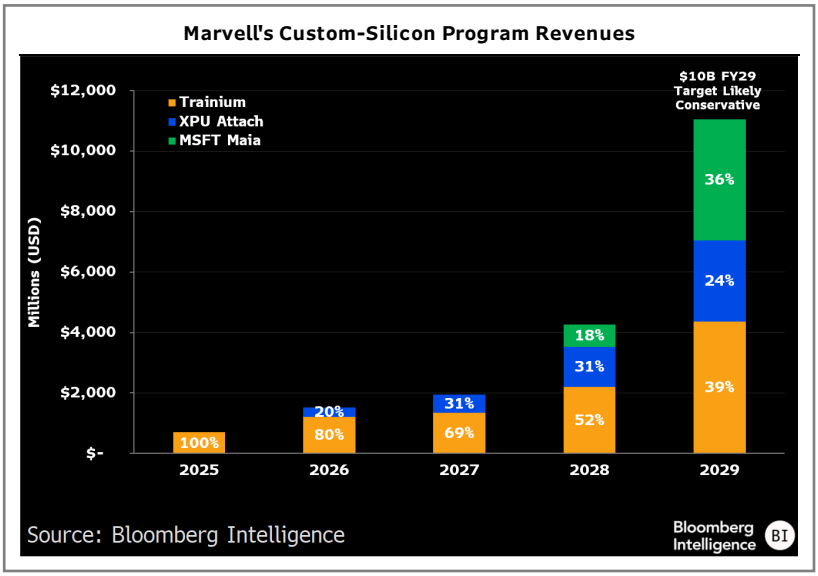
Marvell's custom-AI mix can change significantly as revenue rises from about $2 billion in fiscal 2027 to roughly $4 billion in fiscal 2028 and approaches $11 billion in fiscal 2029 in our scenario. Trainium could account for more than two-thirds of custom-silicon revenue in fiscal 2027, then fall toward 50% in fiscal 2028 as processor-attach revenue more than doubles to over $1 billion, or nearly one-third of custom revenue, with Microsoft Maia making up the balance.

Our fiscal 2029 scenario has Trainium exceeding $4 billion, Maia approaching $4 billion and processor-attach revenue surpassing $2 billion. Custom silicon could become Marvell's largest data-center business at 44% of segment revenue, ahead of interconnect at 41%. Those figures exclude much of the potential contribution from Google, which should begin ramping up in fiscal 2029.

The Google agreement covers workload-specific designs spanning inference accelerators, network-interface controllers, Compute Express Link, memory acceleration and pooling, and potentially custom switching. Axion and standard products are excluded. The designs are expected to be single-sourced and deployed across multiple systems rather than one architecture. Initial ramps could begin within roughly three quarters of one another, with the larger revenue contribution weighted toward fiscal 2029 and beyond. (09/02/26)

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Key Topics

Marvell Investor Day

Marvell's AI Upside Expands as Ambitious 2031 Targets Raise Bar

Marvell's investor-day targets point to substantial AI upside, with the fiscal 2031 framework well above analyst expectations and the improving quality of growth drivers more significant than the numbers. Execution is the key test as interconnect broadens to integrated photonics, scale-across, scale-out and scale-up. Acceleration in legacy products like Ethernet switching should also super-charge growth. Higher-margin and more diverse XPU-attach programs are expected to ramp up in fiscal 2029, offering lower volatility and less intense competition than XPUs. The ambitious longer-dated goals require Marvell to convert a visible design-win pipeline into production. (10/07/26)

Marvell Connectivity Raises Revenue, Execution Bar

Marvell's $20 billion fiscal 2028 revenue target, up $2 billion from its prior view and about 10% above consensus, looks like a connectivity-led reset rather than higher custom-silicon assumptions. The $18 billion data-center target is about 14% above consensus and advances its prior fiscal 2029 goal by one year. Custom revenue above $12 billion in fiscal 2029 exceeds the prior $10 billion-plus target but is near the upper end of bullish Street and buy-side scenarios, implying much of the additional upside lies in optical interconnect, switching and XPU attach.

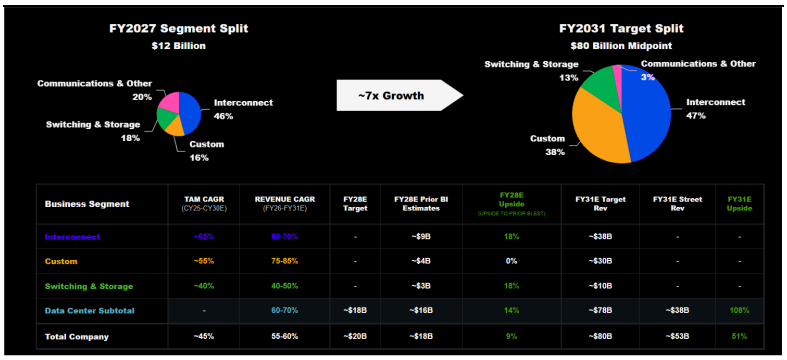
Fiscal 2031 raises the bar further. Marvell's $67.5-$87.5 billion data-center range is 80-134% above limited consensus, while the $37.5 billion interconnect midpoint roughly equals the entire fiscal 2031 data-center forecast. The framework assumes data-center capital spending grows about 35% annually vs. 55-60% for Marvell's data-center revenue, meaning content and share gains must carry much of the bridge.

Management says existing customers, programs and design wins can support the plan without another major socket, shifting the debate from winning business to executing numerous ramp-ups. Scale-up adoption, customer volumes and the fiscal 2028-31 path are key proof points. (10/07/26)

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Marvell Raises Fiscal 2028, 2031 Targets



Business Segment	TAM CAGR (CY25-CY30E)	REVENUE CAGR (FY26-FY31E)	FY28E Target	FY28E Prior BI Estimates	FY28E Upside (UPSIDE TO PRIOR BI EST)	FY31E Target Rev	FY31E Street Rev	FY31E Upside
Interconnect	~65%	60-70%	-	~$9B	18%	~$38B	-	-
Custom	~55%	75-85%	-	~$4B	0%	~$30B	-	-
Switching & Storage	~40%	40-50%	-	~$3B	18%	~$10B	-	-
Data Center Subtotal	-	60-70%	~$18B	~$16B	14%	~$78B	~$38B	108%
Total Company	~45%	55-60%	~$20B	~$18B	9%	~$80B	~$53B	81%

Source: Bloomberg

Interconnect Is Largest Driver of Near-Term Upside

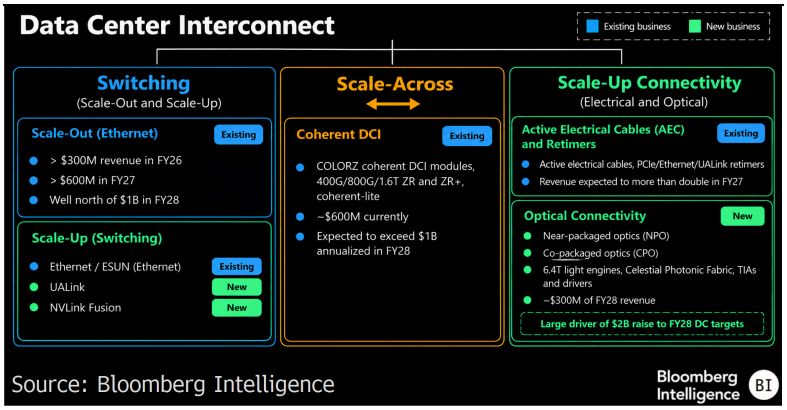
Interconnect and switching products, rather than custom compute, should be the largest driver of revenue upside over the next 18 months, based on our analysis. Beyond higher growth rates, the diversified and secular drivers stand out.

Marvell is positioned to benefit from multiple new sockets, architectures and content gains in data-center networking. We expect 2027 to be an inflection point for scale-up products like scale-up switching, near-packaged optics, co-packaged optics and photonics, all new revenue streams. Legacy Ethernet switching, digital signal processors and data-center interconnect products should also gain from rising data-center capital spending. Marvell remains the only switching provider with design wins across all three scale-up topologies, including Ethernet, NVLink and UALink.

Beyond share and content gains, an accelerated upgrade cycle should drive faster new-generation product adoption, including the 1.6T transition, resulting in higher average selling prices.

Marvell's advantage is cadence plus breadth. It spans optical processors, broadband analog, coherent modules, copper interconnect and multiple silicon-photonics approaches, while long qualification cycles make early entry at each speed transition more durable. That underpins the $37.5 billion fiscal 2031 interconnect target at the midpoint. The key test is whether Marvell can turn early scale-across and scale-up leadership into repeatable, multicustomer production ramp-ups. (10/07/26)

Interconnect Drives Data-Center Upside



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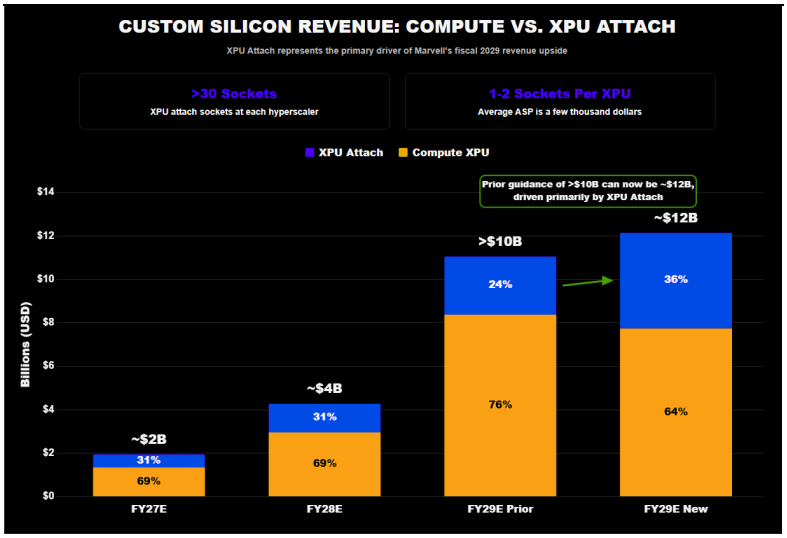
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XPU Attach Broadens Marvell's Custom-Silicon Upside

XPU attach broadens Marvell's custom-silicon opportunity beyond accelerators, making the raised fiscal 2029 revenue target of more than $12 billion less dependent on additional XPU share gains. Trainium and Microsoft's Maia remain the processor base in our scenario, but faster dollar growth is likely to come from XPU attach. The upside to fiscal 2029 targets announced at investor day appears largely driven by the new Google deal. XPU attach programs offer better diversity (more than 30 sockets per hyperscaler), higher gross margin due to more Marvell-specific IP and less intense competition than the XPU market, which has multiple new entrants.

These characteristics are also likely to reduce volatility and reliance on one or two mega sockets, reducing the impact on sentiment from news on socket losses, which weighed on the stock over the past year despite solid fundamentals. Marvell's roughly $30 billion fiscal 2031 XPU revenue target at the midpoint reflects management expectations for a more balanced mix of XPUs and attach products, with no single-socket concentration. The risk shifts from securing one headline win to executing many concurrent ramp-ups, making program timing, attach rates and customer-volume conversion the key proof points. (10/07/26)

XPU Attach Expands Custom-Silicon Opportunity



Source: Bloomberg

Operating Leverage Drives Faster Earnings Growth

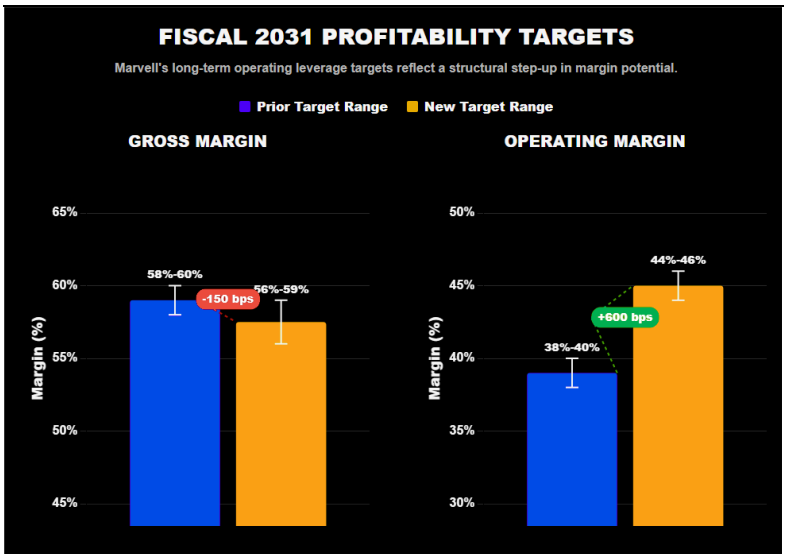
Marvell's fiscal 2031 earnings framework is driven more by operating leverage than by aggressive gross-margin assumptions. The 56-59% non-GAAP gross margin range is below the prior 58-60% and only about 70 bps above consensus at the midpoint. Mix provides a hedge: reaching the low end would likely require significant upside in lower-margin custom silicon, while stronger merchant connectivity would pull gross margin toward the upper end. Customer-funded nonrecurring engineering and reuse of proven Marvell IP help keep custom operating margins attractive despite lower gross margins, while merchant optics and switching carry higher gross margins.

Marvell now targets a 44-46% non-GAAP operating margin, 6 percentage points above its prior framework and about 300 bps above consensus. A 15% tax rate and free-cash-flow margin above 36% support management's framework for non-GAAP EPS above $30 at the $80 billion revenue midpoint, roughly 65% above consensus at $18.20. Marvell also plans to return more than 50% of free cash flow on average over time. The primary proof points are whether operating-expense discipline can hold amid simultaneous product ramp-ups and whether capital returns sufficiently offset dilution to preserve the per-share earnings bridge. (10/07/26)

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Fiscal 2031 Profitability and Earnings Targets



Source: Bloomberg

Accelerators $1.4T Forecast

AI Accelerator Market to Hit $1.4 Trillion as Chip Mix Shifts

The AI-accelerator market should reach $1.4 trillion by 2030, up from our prior $560 billion view, as higher system values and broader deployment lift GPU and custom-chip revenue. Our analysis shows GPUs retaining roughly 65-70% of the market as rising memory and other input costs lift pricing, while custom ASICs gain share as hyperscalers and frontier labs push proprietary chips into high-volume inference. Enterprise, sovereign and cloud demand should extend growth beyond the largest US platforms. (09/30/26)

AI Accelerator Market to Expand to $1.4 Trillion

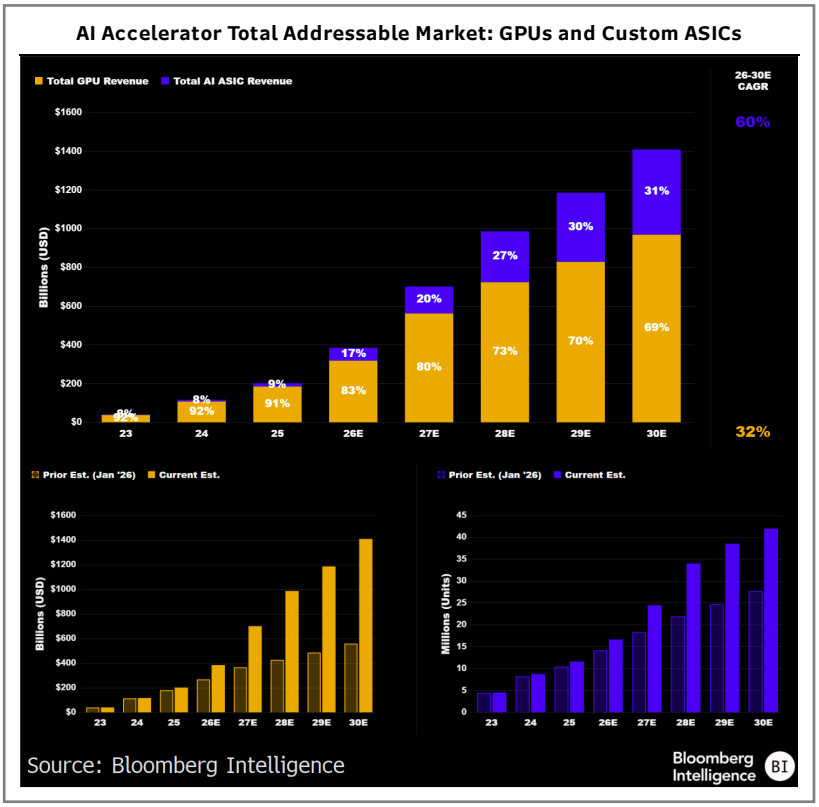
Our AI-accelerator market forecast rises to $1.4 trillion by 2030, 150% above our prior view, with total revenue set to cross $1 trillion in 2028. Persistent increases in hyperscaler capital-spending plans through 2026, driven by expanding inference demand, lift our 2026-30 compound annual growth rate to 38%. GPUs should still account for about 65-70% of accelerator revenue by 2030 even as cloud providers and frontier labs accelerate custom-silicon adoption.

Both volume and pricing drive the upward revision. Our 2030 unit forecast rises 50%, while blended average selling prices increase 65% as rack-scale architectures, greater high-bandwidth-memory content and tighter system integration lift the value of each deployment.

Custom silicon should take more than 30% of accelerator revenue by 2030, versus about 10% in 2025, but that share gain comes within a rapidly expanding market rather than at the expense of absolute GPU growth. GPU revenue should compound at more than 32% annually through 2030, up from our prior 23% forecast. (09/30/26)

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Rising HBM Costs, Content Drive GPU Revenue Revision

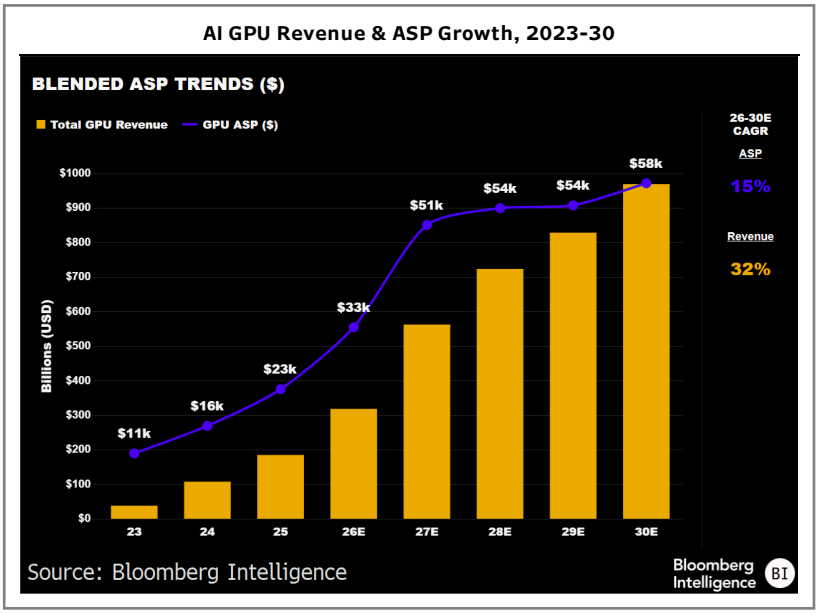
GPU revenue growth is increasingly driven by system value rather than unit expansion alone. Our annual data-center GPU deployment forecast rises to 16 million units by 2030 from 14 million previously. Even so, projected revenue rises 85% to more than $900 billion, reflecting an increase in our blended average selling price forecast to more than $58,000 per GPU from about $36,000.

Higher pricing reflects the shift from stand-alone silicon toward rack-scale systems such as Blackwell and Vera Rubin NVL72, deeper integration and greater memory content, as high-bandwidth memory and server DRAM costs rise, with prices expected to increase 70-80% in 2027. The GPU supplier base is also broadening, with our 2030 revenue forecasts for AMD and the "Other GPU" category rising 145% and 622%.

Specialized inference suppliers and regional alternatives, including Cerebras, Groq and Huawei, could capture more than 10% of GPU-market revenue in aggregate by 2030, up from about 3-5% previously. Higher AMD and alternative-GPU shipments aid faster unit growth than Nvidia, while rising rack-scale value supports continued GPU revenue growth. (09/30/26)

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HBM Content Scaling, Inflation Drive GPU Prices Higher

Rising high-bandwidth memory content and contract pricing are becoming key drivers of GPU average selling prices, supporting the increase in our AI-accelerator revenue forecast through 2030. As frontier models move toward multiturn agentic workloads and longer context windows, memory capacity per accelerator has increased from 80 and 141 gigabytes in Hopper H100 and H200 to 192 and 288 gigabytes in Blackwell GB200 and GB300. Memory can consequently represent about 60% of die- and package-level bill-of-materials costs for next-generation platforms such as Vera Rubin.

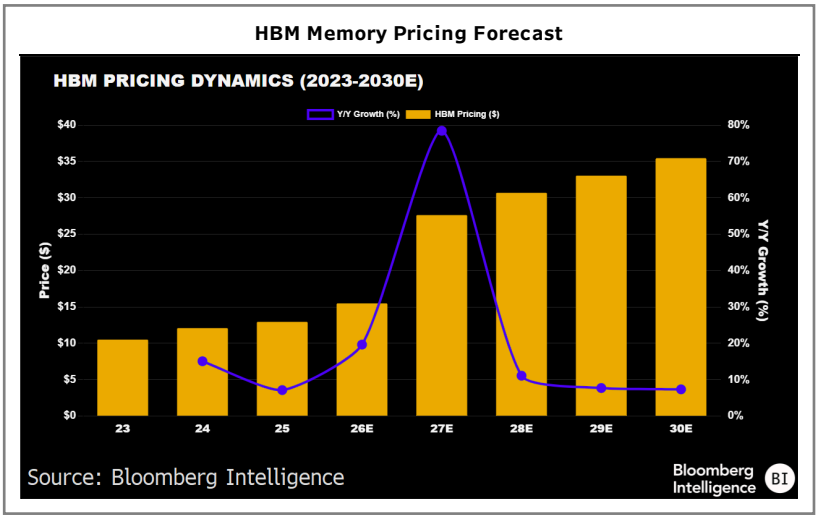
Higher memory content is coinciding with rising HBM contract pricing. Average HBM4 and HBM4E prices are expected to increase 70-80% in 2027, aligning with the timing of our forecast for a major uplift in average GPU prices. Nvidia's supply commitments have risen to $279 billion from $119 billion, with management indicating that well over half is tied to HBM and other advanced-memory procurement.

Higher input costs are flowing into full-system pricing rather than being absorbed entirely by accelerator vendors. Server-level price increases of more than 15% on Grace Blackwell and Vera Rubin racks help lift our scenario for Nvidia’s blended 2030 GPU average selling price.

Greater memory capacity and bandwidth can also improve token throughput per gigawatt, supporting hyperscalers’ willingness to pay more per accelerator. HBM-driven price expansion, rather than unit growth alone, is therefore a major contributor to our 2030 GPU-market revenue forecast exceeding $1 trillion. (09/30/26)

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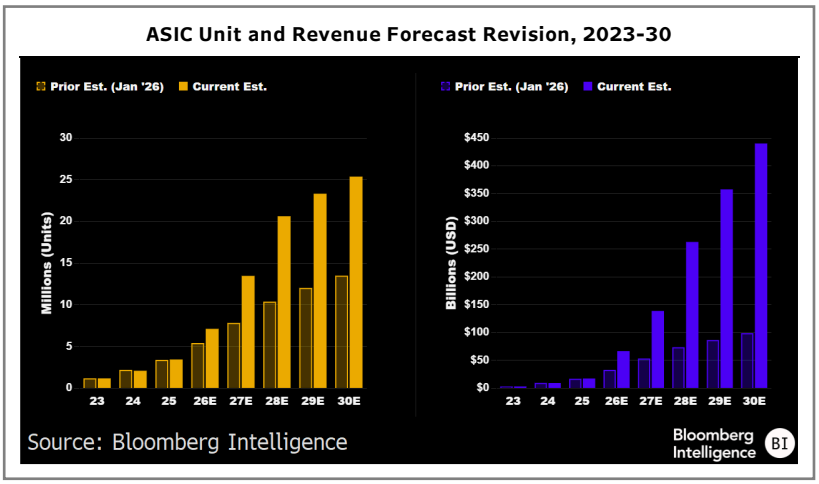
Custom Chip Revenue to Grow 60% as Units Pass GPUs

Custom chips are the largest single driver of our AI-accelerator forecast revision, with higher average selling prices contributing more to revenue growth than unit expansion. Our 2026-30 custom-chip unit forecast rises to a 36% compound annual growth rate from 32% previously, while revenue growth increases to 60% from 42%. More than two-thirds of the revenue uplift comes from higher pricing, with increased units accounting for roughly one-third.

The pricing increase reflects a sharp change in custom-silicon design. Two years ago, Google was the main hyperscaler deploying cutting-edge proprietary chips for training and inference. Amazon, Meta, Microsoft and others are now developing leading-edge accelerators with greater memory content, advanced chiplet packaging and deeper system integration, raising the silicon and system value of each deployment.

Faster adoption pulls the unit crossover forward to 2027, when annual custom-chip shipments should exceed general-purpose GPUs. Our prior forecast had the two maintaining roughly equal unit share through the end of the decade.

Broadcom and Marvell remain key US design partners, while hyperscalers are increasingly diversifying toward Asian suppliers such as MediaTek and Alchip. That broader ecosystem should accelerate deployment as cloud providers seek lower inference costs and greater control over data-center power consumption. (09/30/26)



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Memory, Advanced Nodes Lift Custom-Chip Prices

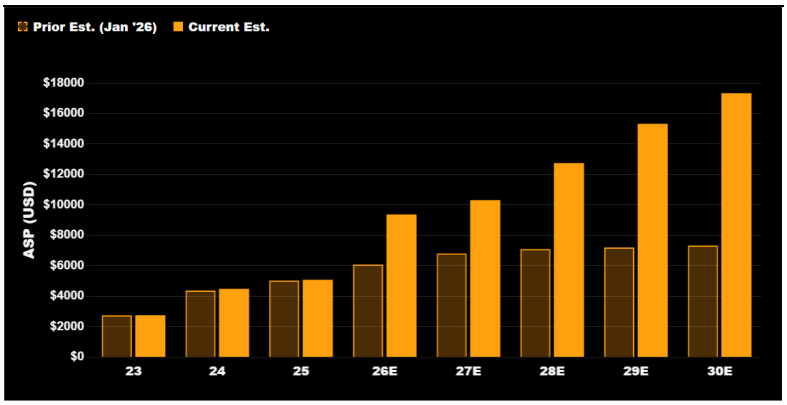
Custom-chip average selling prices should rise sharply as hyperscalers move proprietary accelerators to leading-edge process nodes and more complex 2.5D and 3D packaging. Earlier custom accelerators used 7-nanometer and 5-nanometer processes with relatively modest memory configurations, while next-generation designs increasingly resemble flagship merchant GPUs in logic and memory content. We now expect blended custom-chip prices to be more than 135% above our prior 2030 scenario.

Earlier Google TPU v4/v6 and AWS Trainium1 designs carried about 16-32 gigabytes of HBM on 7-nanometer and 5-nanometer processes. Google TPU v7 Ironwood and TPU v8i Sunfish increase that to 192 and 288 gigabytes of HBM3e and HBM4 on 3-nanometer nodes. AWS' Trainium3 rises to 144 gigabytes, Microsoft's Maia 200 to 216 gigabytes and Meta's MTIA 400/500 to 284-288 gigabytes across increasingly advanced processes. OpenAI's Jalapeño also incorporates 216 gigabytes of HBM4 on a 3-nanometer N3P process.

HBM stacks, advanced logic wafers and packaging account for a growing share of custom-accelerator manufacturing costs. Multidie, reticle-sized chiplets and six to eight HBM stacks raise package-level bill-of-materials costs for design partners such as Broadcom and Marvell.

Hyperscalers can justify the higher unit cost when workload specialization, custom SerDes and direct-attached memory improve token throughput per watt and reduce total cost of ownership relative to general-purpose GPU systems. Leading-edge nodes and higher memory density are turning custom chips into higher-value components of AI infrastructure rather than simply lower-cost GPU alternatives. (09/30/26)

ASIC ASP Forecast Revision, 2023-30



Source: Bloomberg

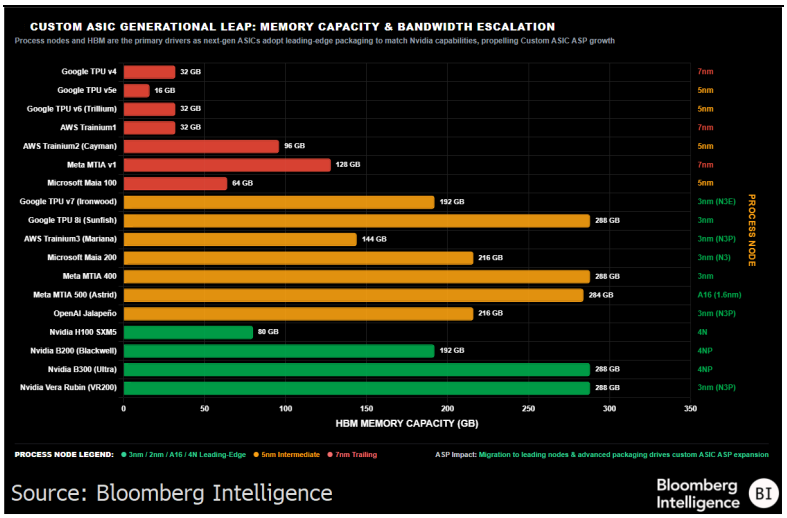
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Custom-Chip Memory, Node Specs Catch Up to GPUs

(09/30/26)

Custom ASIC Memory and Nodes vs. GPUs



Extended Earnings Outlook

Marvell Lifts Fiscal 2027-28 Goals; Google Provides 2029 Upside

Marvell's sharply higher fiscal 2027-28 outlook underscores accelerating and diversifying AI demand, with interconnect a near-term upside driver, followed by custom ramp-ups in fiscal 2028. Estimates could rise on the back of optics, active electric cables and switching as scale-up momentum builds. Custom is set to double in 2028, but only one-third is tied to the new tier-1 hyperscaler program, leaving targets achievable even with a slower Microsoft Maia ramp-up. (08/28/26)

Interconnects Broaden Data-Center Upside

Marvell's latest outlook raise reinforces our view that the next leg of data-center upside is broadening beyond traditional scale-out optics. The $1.5 billion increase to fiscal 2028 revenue guidance appears driven primarily by faster scale-up adoption, with near- and co-packaged optics (NPO/CPO) expanding well above prior expectations and switching opportunities growing across UALink, Ethernet and NVLink. Custom and XPU-attach also contribute, but importantly the higher $18 billion target doesn't depend on a large incremental Google ramp-up, which should become more meaningful in fiscal 2029 and beyond.

We see room for further upside as scale-up optics and switching remain early, while Compute Express Link and custom network-interface card demand continues exceeding prior assumptions. Gross margin is the trade-off: roughly 58% is likely through 4Q and fiscal 2028 as custom mix rises, but operating leverage should still drive operating margins toward the upper end of the 38-40% target. (08/28/26)

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Bloomberg Intelligence Scenario

Bloomberg Intelligence Interactive Scenario: MRVL US Equity

	2026	2027E	2028E	2029E
Segment Revenue				
Data Center	**6,100**	**9,701**	**15,962**	**25,147**
YoY Growth (%)		*59%*	*65%*	*58%*
Interconnect	**3,080**	**5,537**	**8,544**	**10,337**
YoY Growth (%)		*80%*	*54%*	*21%*
Custom AI	**1,519**	**1,946**	**4,274**	**11,056**
YoY Growth (%)		*28%*	*120%*	*159%*
Other DC	**1,501**	**2,217**	**3,143**	**3,754**
YoY Growth (%)		*48%*	*42%*	*19%*
Communications and Other	**2,094**	**2,239**	**2,402**	**2,539**
YoY Growth (%)		*7%*	*7%*	*6%*
Total	**8,195**	**11,940**	**18,364**	**27,686**
YoY Growth (%)		*46%*	*54%*	*51%*

Source: Bloomberg Intelligence

Bloomberg Intelligence BI

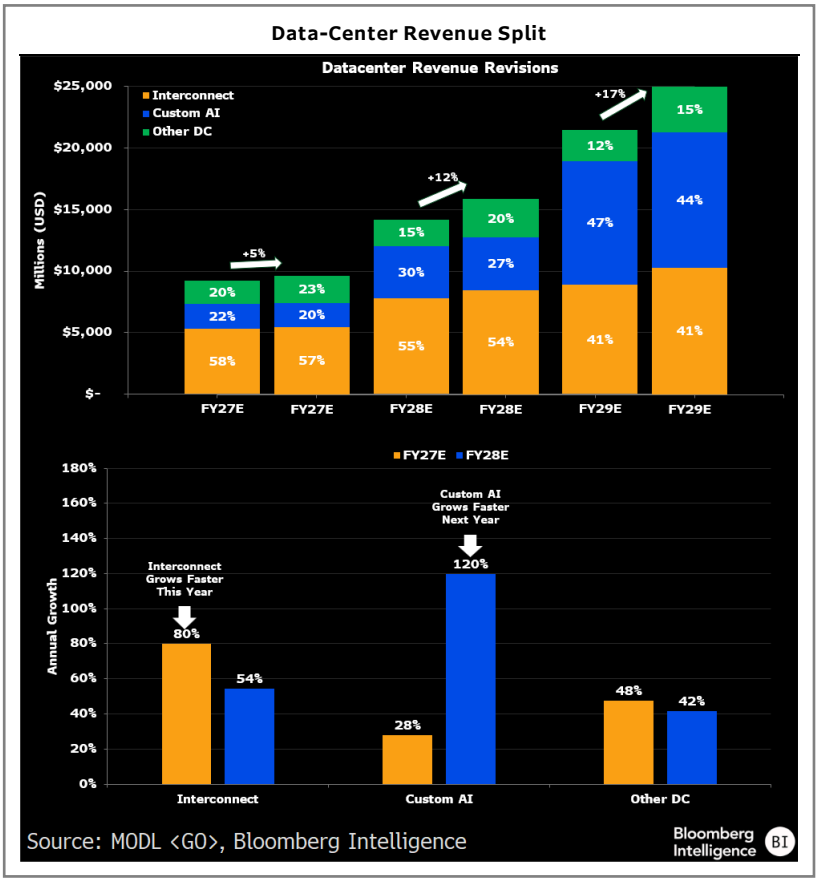
Data-Center Raises Broaden Across Networking, Custom

For fiscal 2027, we see most additional upside in interconnect and other data-center business, particularly scale-out switching. We estimate interconnect is growing at about an 80% pace, more than twice custom's roughly 30%, as 800G and 1.6-terabit optical digital signal processors, transimpedance amplifiers and drivers, and data-center interconnect modules track ahead of prior assumptions. TIA and drivers, data-center interconnect modules and scale-out switching are each on or ahead of their paths toward roughly $1 billion annualized run rates.

The mix will shift in fiscal 2028. We allocate roughly two-thirds of the $1.5 billion revenue raise to interconnect and other data-center business, with the remaining $500 million split between stronger XPU and XPU-attach demand. Interconnect could still grow about 50%, broadly in line with hyperscaler capital spending, while custom becomes the faster engine as Trainium, Microsoft Maia and attach programs drive a more-than-doubling. NPO and CPO are among the largest additional networking drivers, but scale-up optics still has only a single-digit share of data-center sales in our model, leaving substantial runway. Google revenue covered by its agreement is likely for all new designs, and adds upside to fiscal 2029 prior estimates. (08/28/26)

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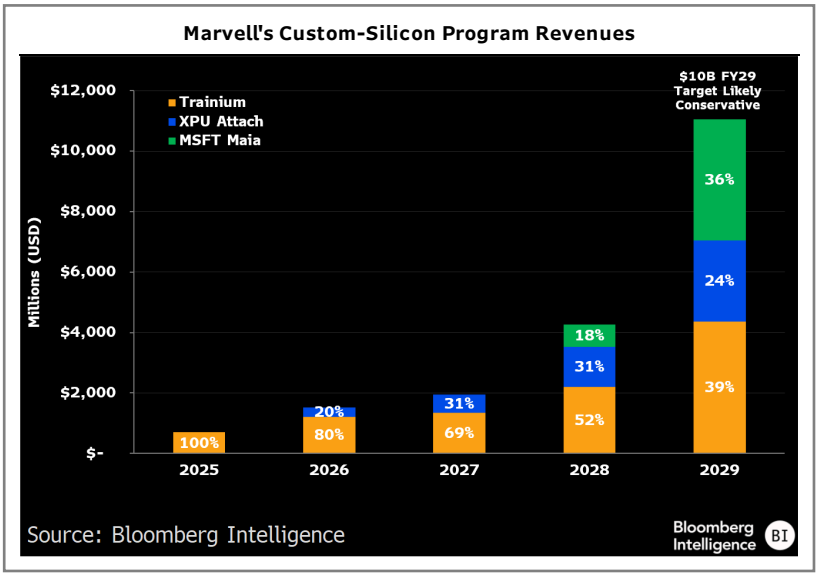
Custom AI Mix Broadens; $10 Billion Target Conservative

Marvell's custom AI mix could change materially as revenue doubles from about $2 billion in fiscal 2027 to roughly $4 billion in 2028 and accelerates near $11 billion in 2029, we estimate. Trainium will represent over two-thirds of custom this year, then decline toward about 50% in fiscal 2028 as XPU attach mix more than doubles to over $1 billion, or just shy of one-third of custom revenue (with Microsoft Maia making up the balance). By fiscal 2029, we model Trainium at over $4 billion, Maia approximately matching it at around $4 billion, and XPU attach well over $2 billion. Custom will become Marvell's largest data-center bucket at 44% of segment revenue, surpassing interconnect at 41% by fiscal 2029. None of this fully includes the upside from Google, which begins layering in during fiscal 2029.

The agreement covers new, workload-specific designs spanning inference accelerators, NICs, CXL, memory acceleration and pooling, and potentially custom switching. Axion and standard products are excluded. The designs aren't expected to be multisourced, attach across multiple systems rather than one architecture, and are expected to begin their initial ramp-ups within roughly three quarters of one another, with the larger contribution weighted toward fiscal 2029 and beyond. (08/28/26)

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Custom AI ASICs Outlook

Custom AI Semiconductors Continue to Challenge Nvidia, AMD GPUs

The rapid proliferation of open-weight AI models like Kimi and DeepSeek could commoditize the software layer, shifting economic value toward hardware infrastructure. This dynamic will likely bode well for custom ASICs as hyperscalers seek to optimize inference costs and capture higher margins. The compute requirements to train and serve these models, along with demand for flexible architectures, should also ensure merchant GPUs from Nvidia and AMD remain indispensable, driving a dual-track capital spending boom that expands the total addressable market for both silicon architectures. (08/11/26)

Open-Weight Models Shift Focus to ASIC Cost Advantages

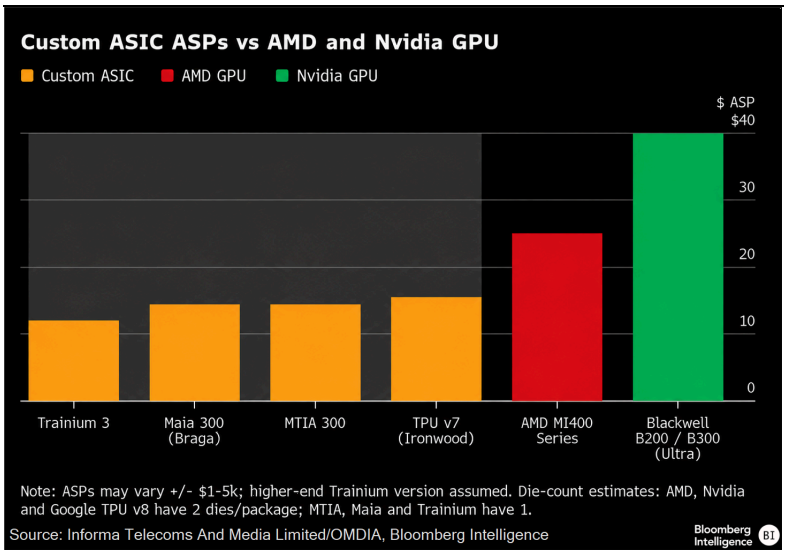
The proliferation of open-weight models like DeepSeek, Qwen and Kimi could commoditize the AI "intelligence layer," shifting the industry's economic moats to physical infrastructure and hardware-acquisition costs. For hyperscalers hosting these open-weight models, custom ASICs offer significantly lower average selling prices (ASPs) than merchant GPUs. Nvidia's Blackwell B200 package commands $30-$40,000 ASP, but premium custom silicon like Google's TPU v7p costs roughly $15,000, and cheaper inference variants like the Trainium series can be deployed for as little as about $8,000. The ASP discrepancy stems from system-level margin stacking. Custom ASICs allow cloud giants to procure peripheral components directly, bypassing the 75%-plus gross margin Nvidia earns on its tightly bundled reference architectures. The historical software moat is also eroding: open-source native compilers are increasingly bypassing Nvidia's CUDA platform, making it easier to port open-weight models to alternative silicon.

By running optimized inference workloads on architectures like TPU v7, hyperscalers can achieve an all-in total cost of ownership (TCO) that's materially lower than an equivalent deployment of Nvidia's GB200, cementing vertical integration as more attractive for hyperscalers who have the scale and resources for heavy R&D and engineering. ASIC programs require significant upfront costs, including $1-$3 billion for advanced nodes. (08/14/26)

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GPU & Custom ASIC ASPs



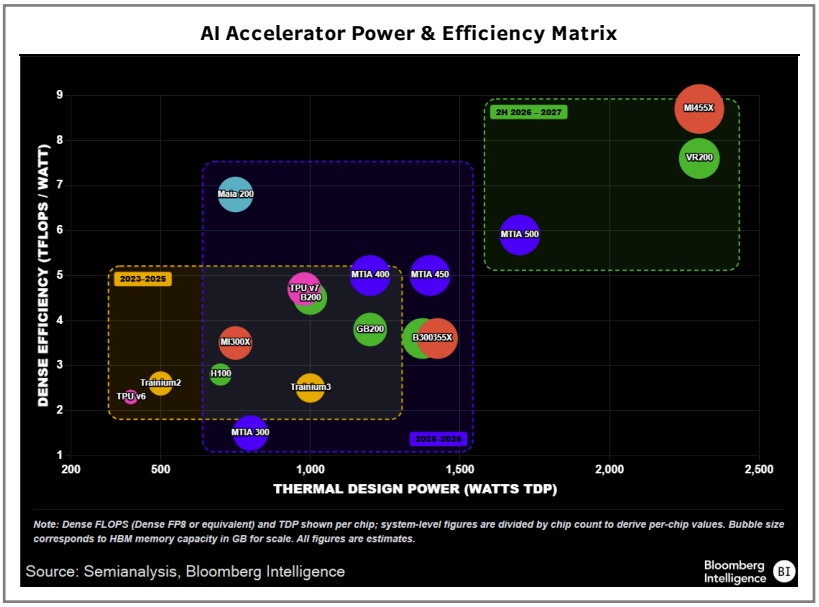
Custom ASICs Challenge GPUs on Real-World Efficiency, TCO

As AI scales, custom ASICs are challenging merchant GPUs by focusing on TCO and workload specialization rather than raw compute performance and flexibility. Merchant vendors tout massive dense FP8 FLOPS, yet real-world constraints -- such as power delivery and dynamic frequency scaling -- often limit GPU Model FLOP Utilization (MFU). In contrast, ASICs paired with bespoke compilers achieve significantly higher MFU for targeted workloads. For example, TPU v7 when deployed in a 3D Torus configuration, delivers an all-in TCO that is much lower than a GB200 server, offsetting a minor shortfall in peak theoretical performance. At an optimized MFU, TPU v7 reduces cost per effective training FLOP. ASICs also tend to operate at significantly lower thermal design power.

However, the ASIC advantage is nuanced. Nvidia and AMD maintain a formidable software moat via their CUDA and ROCm platforms, offering flexibility across diverse workloads out of the box. In contrast, ASICs require deep engineering resources to build custom compilers and optimize workloads. Missing architectural shifts can also penalize ASICs; for instance, Trainium 3's lack of native FP4 support leaves it with a higher TCO per marketed FP4 FLOP than Nvidia's latest silicon. Even if not universally deployed, robust ASIC programs serve as a vital strategic lever for hyperscalers to negotiate better merchant GPU pricing. (08/14/26)

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Megadeals Validate Custom ASIC Strategies

Hyperscalers originally designed custom ASICs for internal workloads, yet a wave of multigigawatt commercial agreements has validated them as a pillar of heterogeneous compute strategies. Leading frontier AI labs are diversifying their silicon dependencies to secure capacity and lower costs. Anthropic recently signed a 10-year, $100 billion agreement for up to 5 GW of Trainium compute, while also committing to a 5-GW-plus TPU v7 rollout that includes $21 billion in direct rack purchases and likely billions more of compute in cloud rentals. OpenAI is similarly embracing heterogeneous infrastructure, backing a 10-GW, $150-$200 billion custom "Titan" XPU deployment with Broadcom through 2029, alongside a 2-GW Trainium pact and a $24.6 billion commitment for Cerebras wafer-scale systems via cloud capacity.

Even hyperscalers are cross-pollinating: Meta is leveraging Broadcom for 3 GW of turnkey MTIA systems while also renting multigigawatts of Google's TPU capacity. This third-party adoption shows custom silicon has become adoptable by third parties, offering bankable performance for the world's most advanced AI models. (08/11/26)

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Third-Party ASIC Deals Signal Custom-Silicon Adoption

External Custom ASIC Deals

Hyperscaler	External Customer	Hardware Deployed	Deal Capacity	Financial Structure & Value	Deployment Details & Timeline
Google	Anthropic	Google TPU v7 (Ironwood) & Next-Gen TPUs	Up to 3.5GW – 5GW+ total compute	$21B+ Direct Rack Purchases ($10B Q3'25 + $11B Q4'25) + GCP Cloud Rental	Phase 1: 1GW starting 2026. Anthropic trains Claude 4.5 Opus.
Google	Meta	Google TPU v7 / v8 (via GCP)	Multi-gigawatt scale	Multi-billion dollar multi-year cloud agreement	Meta leasing Google TPUs via GCP for recommendation systems, ranking, and AI training/inference.
Google	Apple	Google TPUs (via GCP)	Undisclosed	Multi-year cloud rental contract	Apple renting TPU capacity to power Apple Intelligence and private cloud AI processing.
AWS	Anthropic	AWS Trainium 2, Trainium 3 & Trainium 4	Up to 5GW compute capacity	$100B, 10-Year Commitment by Anthropic to AWS + $13B+ Amazon Equity Investment	Project Rainier: 400k Trainium2 cluster in '24–'25. Ramping 2GW by YE26 on Trainium 3, scaling to 5GW on Trainium 4.
AWS	OpenAI	AWS Trainium 3 & Trainium 4	~2GW of Trainium capacity	Expanded $100B, 8-year compute contract with AWS	OpenAI committing to consume ~2GW of Trainium capacity starting in 2026/2027.
AWS	Databricks	AWS Trainium 2	Enterprise cluster scale	Multi-year GenAI partnership	Databricks adopting Trainium2 instances as lead external inference customer for MoE models (DBRX).

Source: Bloomberg Intelligence, Company Filings

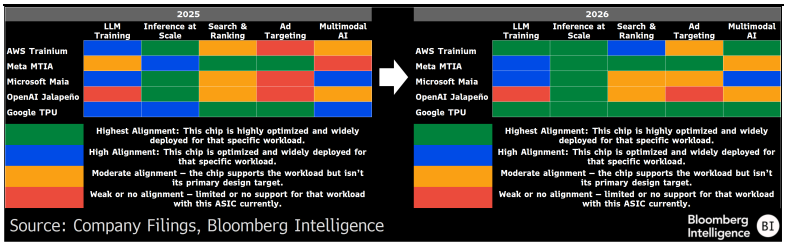
Bloomberg Intelligence

GPUs Undisputed Standard for Versatility, Yet ASICs Catching Up

Custom application-specific integrated circuits (ASICs) are becoming more versatile after initially targeting narrow internal workloads, but merchant GPUs retain an advantage in flexibility. Complex agentic workflows and expanding context windows require adaptable compute, supporting demand for Nvidia's Blackwell and Vera Rubin platforms and AMD's MI350 and MI455 series. Their programmability is important for frontier-model training and enterprise cloud deployments, particularly for the 10-20 companies without R&D budgets to develop custom chips.

The software ecosystem reinforces that advantage. Millions of developers already build and optimize workloads on Nvidia's CUDA platform, easing deployment relative to bespoke ASIC software. Competition is increasing, however. AMD's partnership with Anthropic can accelerate development of its open-source ROCm platform and narrow Nvidia's software advantage. (08/12/26)

2025 vs. 2026 ASIC Workloads



Source: Company Filings, Bloomberg Intelligence

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Extended Earnings Preview

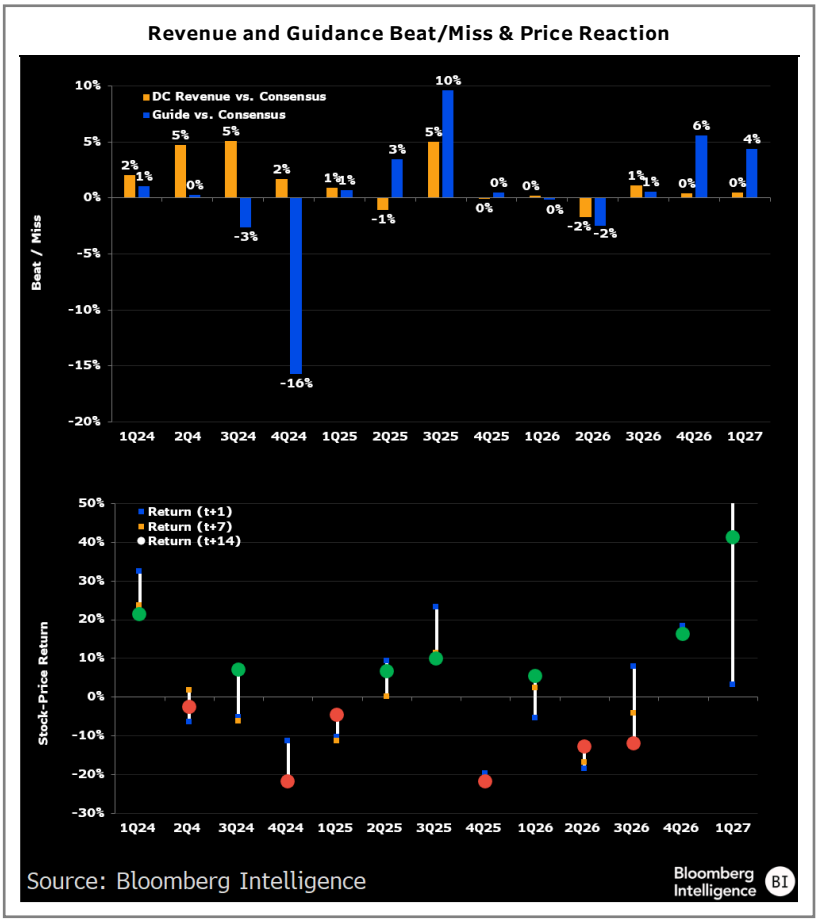
Marvell AI Networking Upside Faces Higher Bar Into 2Q

Marvell's fiscal 2Q results may again top consensus as optical and switching demand stays strong, supported by igreater hyperscaler capital-spending estimates, but the stock's post-Computex rerating raises the bar. Another increase to the fiscal 2027-28 outlook or firmer visibility into 1.6T, scale-up and the fiscal 2028 custom-silicon ramp-up might be needed to support further rerating, with interconnect still the key near-term driver. (08/24/26)

Computex Sparked Marvell Rerating After Solid 1Q

Marvell's fiscal 1Q results topped expectations but drew a muted initial share reaction despite 2Q revenue guidance about 4% above consensus and another increase to the fiscal 2027-28 framework. The reaction came amid concern about operating expenses, dilution and gross-margin pressure as custom AI expands. Shares rose roughly 40% over the week following Computex, when Nvidia President and CEO Jensen Huang's endorsement reinforced Marvell's strategic role across AI optics, switching, custom silicon and scale-up connectivity.

With that broader AI-infrastructure role now better recognized, another increase to out-year guidance or more concrete visibility into interconnect durability, scale-up monetization and the fiscal 2028 custom-silicon ramp-up may be needed to improve sentiment. (08/24/26)



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Key Questions Heading Into Results

These are the top questions BI is watching for heading into earnings, focused on near-term fundamentals, key drivers and longer-term strategic positioning. (08/24/26)

Questions for Management:

- Does Marvell raise its 2027-28 outlook again as hyperscaler capex and optical demand continue to exceed prior assumptions?
- Is 2027 interconnect still tracking above 70% growth, and how quickly are 1.6T optics, switching and DCI scaling?
- Are AWS Trainium and Microsoft's Maia ramps progressing as planned, keeping fiscal 2028 custom revenue on track to more than double?
- Have agentic AI and higher CPU attach rates increased the outlook for CXL, custom NICs and the broader XPU-attach opportunity beyond prior targets?

Earnings Call Details:

- Call Details

Chart Book

Company

Marvell AI Upside Broadens Across Networking, Custom

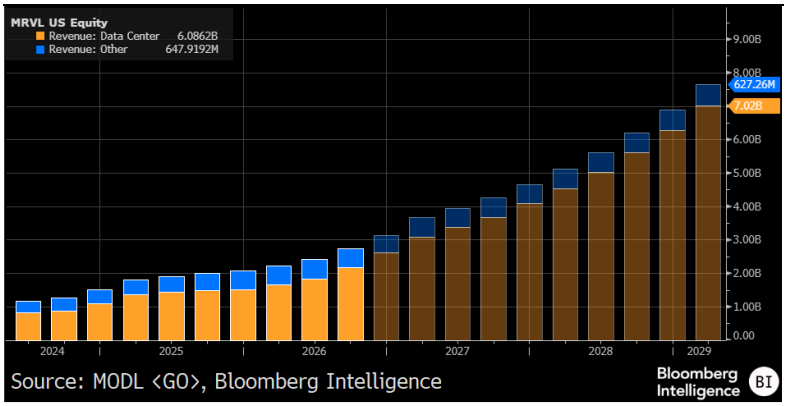
Marvell's near-term growth could remain led by interconnect, with our fiscal 2027 scenario pointing to about 80% growth on stronger optics and switching, well above roughly 30% for custom silicon. In fiscal 2028, custom silicon can more than double on Trainium, Microsoft Maia and processor-related demand, while scale-up optics and switching add another networking driver. Google could broaden the fiscal 2029-and-beyond opportunity across accelerators, network interfaces, Compute Express Link and memory. Gross margin may remain near 58% as the custom-silicon mix rises.

To access live data and charts, please click on the links under the images below. (09/02/26)

AI Revenue Main Growth Driver Going Forward

(09/02/26)

Revenue Segment Forecast



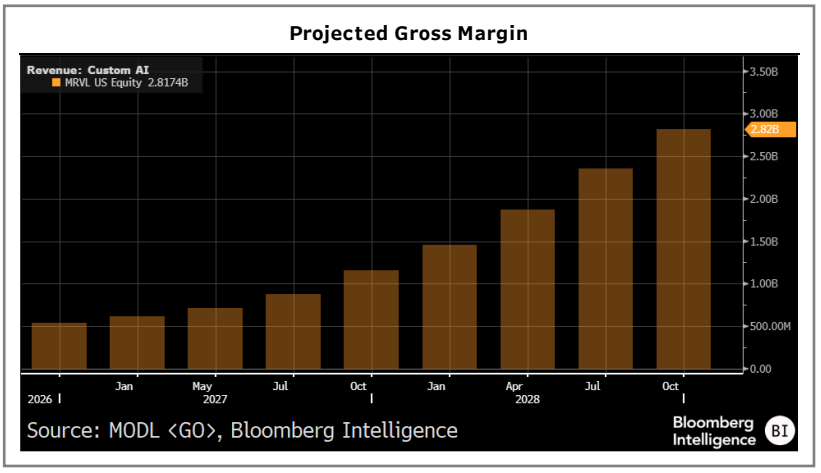
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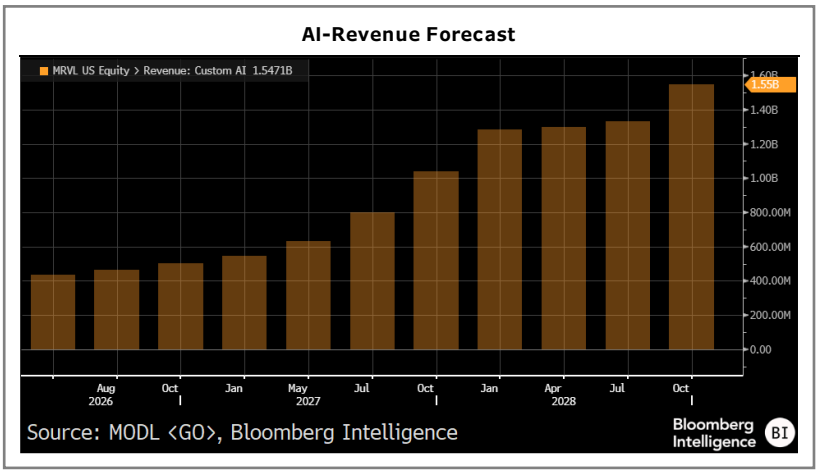
Custom ASIC Ramp-Ups Weigh on Gross Margin

(09/02/26)



AI Revenue Is the Main Driver of Growth

(09/02/26)



Peers

Marvell Reinforces No. 2 Position in Custom AI Silicon

Marvell remains the No. 2 custom AI silicon supplier behind Broadcom, with its opportunity broadening across Trainium, Microsoft Maia, processor-attach programs and Google. Our scenario points to custom revenue more than doubling in fiscal 2028 and approaching $10 billion in fiscal 2029 as the mix diversifies beyond its largest customer. Google could add another growth driver from fiscal 2029 across accelerators, network interfaces, Compute Express Link and memory products. Strength in optical interconnect, switching and scale-up connectivity also broadens Marvell's AI exposure beyond custom compute and can add to its competitive position relative to Broadcom, AMD and Intel.

To access live data and charts, please click on the links under the images below. (09/02/26)

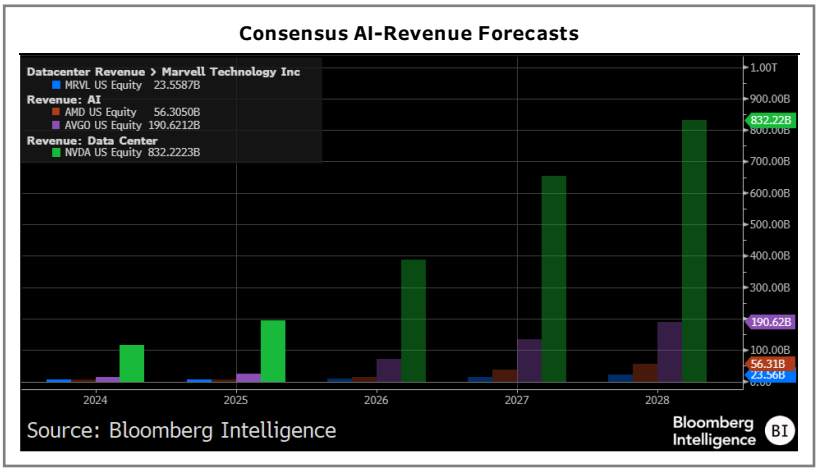
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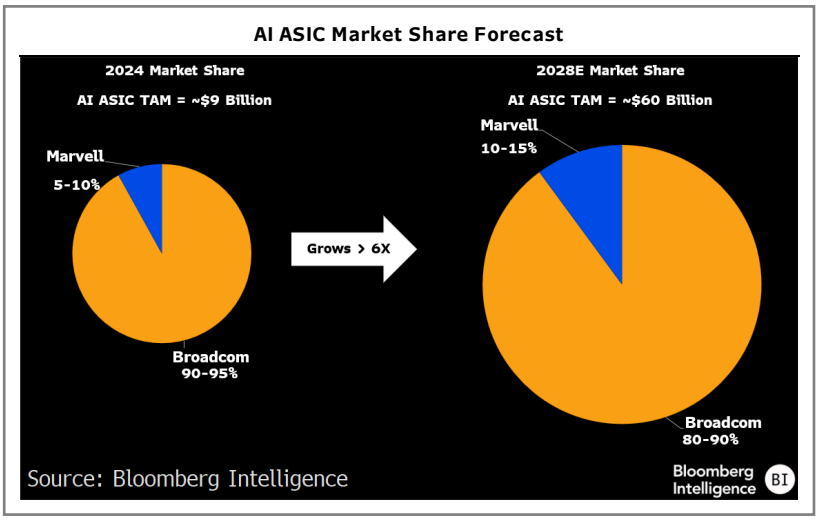
Marvell No. 2 in Custom AI ASIC Race

(09/02/26)



Growing ASIC Pipeline Boosts Market Share

(09/02/26)



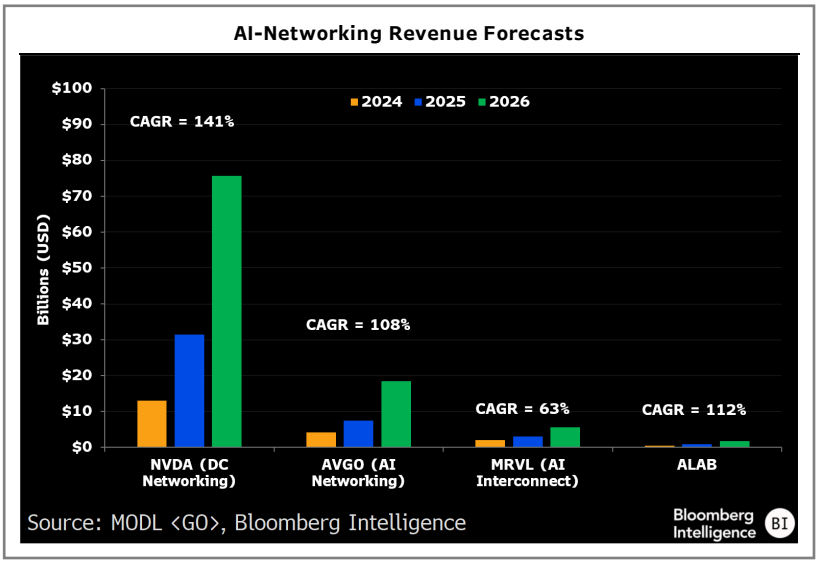
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A Key Provider in Data-Center Networking

(09/02/26)



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